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N° 27

COLLECTION · INVESTORS

Calculating Rental Profitability

Cash flow, cap rate and GRM — the numbers that drive the decision

2026 EDITION

READ BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It offers general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. As every real estate situation is different, it is recommended that you consult the appropriate professionals before making any decision regarding a real estate transaction.

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In rental real estate, profitability isn't guessed: it's calculated. Three simple indicators — cash flow, the capitalization rate (cap rate) and the gross rent multiplier (GRM) — tell you in a few minutes whether a building deserves an offer.

This guide explains each calculation, with clear examples, to compare buildings objectively.

Each chapter ends with a lined “My notes” page to calculate YOUR own numbers.

A building's profitability is calculated, not guessed. This guide breaks down the key indicators — NOI, cash flow, capitalization rate, GRM, return on down payment — and above all their limits, to decide on facts.

The key message: no single ratio tells everything; it's the whole set, cross-checked with the building's condition, that informs the decision.

CHAPTER

Net operating income (NOI)

> *Calculating what the building generates before financing.*

Net operating income (NOI) is the basis of everything: rental income (minus vacancy) minus operating expenses (taxes, insurance, maintenance, management, common-area energy) — BUT before the mortgage payments.

Example: rents $36,000/year − 5% vacancy ($1,800) = $34,200; expenses $12,000; NOI = $22,200.

The NOI (income minus operating expenses, before financing) is the base measure of a building's performance. It lets you compare buildings to one another without being skewed by each one's financing. A solid NOI is the foundation of any good investment.

> EMILIE'S TIP
>
> *Never confuse gross rents and NOI. A building with big rents but high expenses can generate less NOI than a more modest, efficient one.*

CHAPTER

Cash flow

> *Knowing what actually stays in your pockets.*

Cash flow is NOI minus the mortgage payments (principal + interest). It's the money left each year after paying EVERYTHING. Positive cash flow is generally the goal; negative cash flow means you're funding the building out of your own pocket.

Example: NOI $22,200 − mortgage $18,000/year = cash flow of $4,200/year.

Cash flow is NOI minus the mortgage payments: the real money left (or missing) each month. Negative cash flow means you're funding the building out of your own pocket. Aim at least for break-even, with a margin for surprises and vacancy.

> EMILIE'S TIP
>
> *Slightly positive or neutral cash flow can be acceptable if the building is gaining value and the tenant is paying down your principal. But large negative cash flow is a risk, especially if rates rise.*

CHAPTER

The capitalization rate (cap rate)

> *Comparing buildings independently of financing.*

The capitalization rate = NOI ÷ purchase price, expressed as a percentage. It measures the building's return before financing, which lets you compare buildings to one another and to their area.

Example: NOI $22,200 ÷ price $400,000 = a 5.55% cap rate. A higher cap rate means (all else equal) a better return — but sometimes more risk or a less sought-after area.

The capitalization rate (NOI ÷ price) lets you compare buildings independently of financing, like a building's “return”. A higher cap rate can signal a better return… or higher risk. Always compare similar buildings, in similar areas.

> EMILIE'S TIP
>
> *Always compare a building's cap rate with those of the same area. An abnormally high cap rate often hides something: a bad neighbourhood, major work coming, or unsustainable rents.*

CHAPTER

The GRM and the limits of ratios

> *Using a quick benchmark and knowing its limits.*

The gross rent multiplier (GRM) = purchase price ÷ annual gross income. It's a QUICK comparison benchmark (a lower GRM is generally more attractive), but crude because it ignores expenses.

- GRM: good for a first quick sort, not for deciding.
- Cap rate and cash flow: more reliable because they account for expenses (and financing for cash flow).
- Always validate with the real numbers before making an offer.

The GRM (price ÷ gross income) is a quick benchmark, but crude: it ignores expenses. Use it for a first sort, never to decide. Ratios are tools, not verdicts: always cross-check them with the real numbers and the building's condition.

> EMILIE'S TIP
>
> *Use the GRM for a first sort, never for a final decision. Two buildings with the same GRM can be very different once the real expenses are included.*

CHAPTER

Return on down payment and leverage

> *Measuring what your invested money brings in.*

Beyond the classic ratios, one figure speaks directly to the investor: the **return on down payment** (cash-on-cash) — the annual cash flow relative to the money actually invested.

That's where **leverage** comes in: by financing part of the price, you invest less of your own money to control a bigger asset.

- Leverage **amplifies** the return… but also the risk.
- Negative cash flow turns leverage into a burden.

The return on down payment (cash-on-cash) measures what YOUR invested money brings in. That's where leverage comes in: financing part of the price amplifies the return… but also the risk. Negative cash flow turns leverage into a burden: always keep a margin.

> EMILIE'S TIP
>
> *Leverage is a double-edged sword: it inflates your returns when all goes well, but amplifies losses if cash flow turns negative. Always keep a margin to absorb a bad year.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Gather the real rents and expenses of the target building.
2. Calculate the NOI.

Within 30 days

1. Calculate cash flow, cap rate and GRM.
2. Compare to the buildings and the cap rate of the area.

Next

1. Decide whether to make an offer based on validated numbers, with Emilie.

To analyze a building

1. Calculate NOI, cash flow and return on down payment from the real numbers.
2. Test a rate increase and a vacancy to check my margin.

REFERENCES

Resources & glossary

- NOI: net operating income, income minus expenses, before financing.
- Cash flow: NOI minus the mortgage payments.
- Cap rate: NOI ÷ purchase price, the return before financing.
- GRM: price ÷ gross income, a quick comparison benchmark.
- Vacancy: the percentage of lost rents to include in the calculations.

- NOI: income minus operating expenses, before financing.
- Cash flow: NOI minus the mortgage payments.
- Capitalization rate: NOI ÷ price, to compare buildings.
- GRM: price ÷ gross income, a quick, crude benchmark.
- Leverage: the use of financing that amplifies return and risk.

GOING FURTHER

Quiz — test your knowledge

1. The NOI is calculated:

A) After the mortgage

B) Before the mortgage payments

C) Without the expenses

D) On the price alone

2. Cash flow is:

A) NOI minus the mortgage

B) The gross rents

C) The purchase price

D) The down payment

3. Negative cash flow means:

A) A gain

B) That you're funding the building out of your pocket

C) Nothing

D) An exemption

4. The cap rate is:

A) NOI ÷ purchase price

B) Price ÷ rents

C) Rents − expenses

D) Down payment ÷ price

5. An abnormally high cap rate can hide:

A) A sure bargain

B) A bad neighbourhood or major work coming

C) Nothing

D) A gift

6. The GRM is:

A) Price ÷ gross income

B) NOI ÷ price

C) Annual cash flow

D) The interest rate

7. The GRM mainly serves for:

A) Deciding on its own

B) A first quick sort

C) Calculating tax

D) Setting the rent

8. To decide, you rely mainly on:

A) The GRM alone

B) The real cap rate and cash flow

C) Appearance

D) Chance

Answer key

1. B — Income minus expenses, before financing (ch. 1).

2. A — What's left after paying everything (ch. 2).

3. B — Expenses exceed the net income (ch. 2).

4. A — The return before financing (ch. 3).

5. B — To compare to the area (ch. 3).

6. A — A quick benchmark (ch. 4).

7. B — It ignores the expenses (ch. 4).

8. B — They include the expenses (ch. 4).

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Thank you for reading. May this guide help you decide with confidence, with all the information in hand.